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Dynacast: Solid, Middle Market LBO

BY MARGARET CANNELLA*

Introduction

Having spent two years as an analyst in JPMorgan Chase & Co.'s investment banking Industrials and Transportation Group, followed by two years at Kohlberg and Company, Jonathan Schilowitz graduated from Columbia Business School in May 2012 and landed a job with the Swiss-headquartered, global private markets investment manager Partners Group (PG).

PG is a private markets investment manager, serving over 700 institutional investors globally, with \$50 billion in assets under management (USD) and more than 800 professionals across 18 international offices. The firm focuses on a variety of alternative investments, realizing potential in private markets by financing and developing great companies, desirable real estate, and essential infrastructure.

At the time that Schilowitz came on board, PG was focusing for the first time on direct private equity investments in the United States, and with his experience at Kohlberg and Company, Schilowitz was well placed to help the senior management of the firm accomplish this goal. Among the many companies in their sights was Dynacast, a small, but global, company that manufactured high quality metal components. The company was led by a highly skilled management team with solid customer relationships—and operated in an industry with strong barriers to entry.

The Company

Headquartered in Charlotte, NC, in 2014 Dynacast was the global market leader in the manufacturing of precision-engineered metal components. Utilizing proprietary die cast and metal injection molding technologies, Dynacast produced over one billion high precision components per year primarily using zinc, aluminum, magnesium and stainless steel. The

Author affiliation

**Adjunct Professor, Finance and Economics and Heilbrunn Center for Graham and Dodd Investing; Administrative Director, Private Equity Program, Columbia Business School*

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company offered robust solutions to many industries including automotive safety and electronics, consumer electronics and healthcare.

Dynacast was established in 1926 and competed largely on the basis of its proprietary multi-slide process and conventional tooling techniques, which provided high volume cost advantages that were not available to competitors. Dynacast operated 23 manufacturing facilities in 16 countries and had over 5,500 employees.

The Transaction

On December 16, 2014, PG and Kenner & Company announced that they had signed an agreement to acquire a controlling stake in Dynacast International Inc. The transaction had a total enterprise value of \$1.1 billion (excluding transaction and financing fees, and debt breakage costs) and was expected to close in February 2015. The transaction would be financed with equity from the buyer consortium and management, as well as debt financing, including:

- \$580 million First Lien facilities:
 - o \$530 million First Lien Term Loan (L+4.25%)
 - o \$50 million Revolving Credit Facilities (L+4.00% and unfunded at close)
- \$170 million Second Lien Term Loan (L+8.50%)
- \$6 million in debt rollover (2.00% annual interest rate)
- \$483 million of New Sponsor Equity and Management Rollover Equity

The Process

In July 2011, Kenner & Co., a fundless sponsor, led an investor group consisting of Izurium Capital, W Capital Partners, Laurel Crown Partners and Tower Square Capital Partners to acquire Dynacast. Under this ownership, the Company performed very well through the first half of 2014, with revenues growing from \$428 million to \$650 million and EBITDA from \$82 million to \$124 million. Over the past 18 months, PG had been in contact with Kenner as well as with management. On the basis of PG's strong conviction about the business, PG submitted a non-binding bid for the company to its board on September 18, 2014.

Over the next several weeks, PG held a series of meetings with the selling shareholders and multiple meetings with Dynacast CEO Simon Newman and CFO Adrian Murphy.

On November 3, PG reached an agreement with Dynacast's selling shareholders on a six-week exclusivity period to complete due diligence and negotiate a stock purchase agreement by December 15. At the same time, PG held detailed discussions with potential lenders including JPMorgan Chase, Bank of America, Barclays, UBS and Morgan Stanley. Due diligence efforts were complemented by working together with third-party providers McKinsey & Company (market/competition), KPMG (accounting/tax), Goodwin Procter (legal), TBM Consulting Group (operational consultants), West Monroe Partners (IT), Ramboll Environ (Environmental) and Willis Towers Watson (Benefits and Insurance).

With the process completed and the due diligence successfully executed to the buyer's satisfaction, the Purchase Agreement was signed and the Confidential Information Memorandum circulated to the debt investors on January 12, 2015.

[Click here to watch Schilowitz discuss the due diligence process and the evolution of the deal.](#)

Assignment

As Schilowitz, you need to meet with your bankers to explain the transaction. Key to their interests are the valuation, investment thesis, and capital structure. They are also heavily focused on getting to know the highly regarded management team.

As Schilowitz and his team consider how to present these issues, they gather the company's most recent 10K and 10Q reports and comparables data, and sit down to present their key assumptions with regard to:

- The basis for the valuation of the Company (quantified in a free cash flow forecast), considering a range of methodologies
- The investment thesis and risks of the transaction
- The due diligence questions Schilowitz might have for this transaction

Finally, in a casual elevator conversation, PG senior management asks Schilowitz what the key numbers and expected returns are for this transaction. Use a paper-LBO to justify Schilowitz's answer.

See Exhibits 1-10 to complete the assignment.

Exhibit 1

Transaction Press Release (12/17/14)

Partners Group to acquire Dynacast, a leading global manufacturer of precision engineered components

Partners Group, the global private markets investment manager, has signed an agreement to acquire a controlling stake in Dynacast International on behalf of its clients. The transaction has an overall enterprise value of USD 1.1 billion and is expected to close in February 2015.

Founded nearly 80 years ago, Dynacast International is a global manufacturer of small, highly complex metal components. The company uses proprietary precision die-casting and metal injection molding (MIM) technologies to produce customized, high-volume components with complex shapes and tight tolerances. Dynacast is headquartered in Charlotte, North Carolina, and has 23 manufacturing plants in 16 countries worldwide, which serve a diverse client base including blue-chip customers across the automotive, telecommunications, computing, consumer electronics, and healthcare industries.

Dynacast was acquired in 2011 by a consortium of investors including Izurium Capital Management, W Capital Partners, Laurel Crown Partners, Kenner & Company, Babson Capital Management, Macquarie Capital and certain members of management. Since its acquisition in 2011, Dynacast has experienced considerable growth and has expanded its footprint and penetrated new markets with its broad range of product offerings while strengthening its product portfolio with its recent acquisition of Kinetics Climax Inc.

Partners Group is acquiring Dynacast from exiting financial investors and is joined in the acquisition by Kenner & Company, an existing shareholder, and the company's management team, which will both roll over significant equity stakes into the new transaction. Following the close of the acquisition, Partners Group and Kenner & Company will work closely with Dynacast's management team to support the company in the next phase of its global growth plans.

Simon Newman, Chief Executive Officer of Dynacast, states: "Dynacast has a long and rich history of continuously refining our proprietary manufacturing technologies, in-house tooling expertise and innovative design processes to manufacture highly complex metal components in a fast, repeatable and precise manner to provide greater value to our customers. With the investment led by Partners Group, we have the strategic support and capital backing to enter into the next phase of growth for our company."

Joel Schwartz, Managing Director at Partners Group in New York, adds: "We are really looking forward to working with Simon and the rest of Dynacast's management team in this next stage of the company's development. Dynacast already has a truly differentiated position as a global supplier in the precision metal components marketplace and we see exciting potential for further expansion. We believe our global platform and deep network of industry relationships make us the ideal partner to back management's vision for the business going

forward, particularly through our assistance with acquisitions and with the deepening of the company's integrated, worldwide approach."

The transaction has fully committed financing from JPMorgan Chase Bank, N.A., Barclays and Macquarie Capital and is subject to regulatory approvals and customary closing conditions. J.P. Morgan Securities LLC, Barclays, Macquarie Capital, Goodwin Procter LLP and KPMG LLP are advising Partners Group on the transaction.

Morgan Stanley and Co. LLC served as exclusive financial advisor to Dynacast while Hunton & Williams LLP and Davis Polk & Wardwell LLP served as legal counsel to Dynacast with respect to the transaction.

Exhibit 2

Company Overview (2013 Form 10K)

Dynacast International Inc. (formerly KDI Holdings, Inc.) was formed by affiliates of Kenner & Company, Inc. (“Kenner”) and their co-investors as a Delaware corporation in 2011. On July 19, 2011, Dynacast acquired from Melrose plc and certain of its subsidiaries (“Melrose”) the outstanding equity of the entities (the “Dynacast Group”) that prior thereto had conducted the business of Dynacast and its subsidiaries described in this Form 10-K (the “Dynacast business”). In this Form 10-K, we refer to the Dynacast Group prior to the acquisition of the Dynacast business (the “Acquisition”) as the “Predecessor Company” and we refer to Dynacast and its consolidated subsidiaries following the Acquisition as the “Successor Company.” As used in this Form 10-K, the terms the “Company,” “Dynacast,” “we,” “us,” and “our” generally refer, with respect to the period after July 19, 2011, to Dynacast International Inc. and its wholly-owned subsidiaries and, with respect to the periods prior to and including July 19, 2011, to the Dynacast Group.

The Acquisition, along with the payment of related fees and expenses, was financed with the following (such financing, together with the Acquisition, the “Transactions”): the Senior Secured First Lien Credit Facilities (the “Senior Secured Credit Facilities”) consisting of a \$50.0 million term loan (the “term loan”), \$50.0 million revolving credit facility (the “revolving credit facility”), \$350.0 million of our 9.25% Senior Secured Second Lien Notes (the “Notes”), \$53.0 million of redeemable preferred stock and \$170.0 million of common stock and related warrants.

Company Overview

We are a global manufacturer of small engineered precision die cast components. We serve customers in automotive safety and electronics, consumer electronics, telecommunications, healthcare, hardware, computer and peripherals and many other industries. Our customers range from large multinational companies to small family-owned businesses. We manage our business primarily on a geographical basis through three reportable segments—Asia Pacific, Europe and North America—each of which is comprised of the facilities located within the applicable geographic region.

Our extensive engineering expertise and use of specialized manufacturing technologies enable us to design and manufacture customized, small, high precision components with complex geometries in a cost-effective manner. Through our proprietary multi-slide die casting manufacturing technology, we have developed extensive know-how in the die casting of small components. We also have expertise in small component conventional die casting methods, which employ similar manufacturing techniques as our multi-slide manufacturing process and achieve comparable high tolerances, complexity and quality in our finished components. The small components we manufacture generally fit in the palm of a hand. We use zinc, aluminum and magnesium alloys, which have many preferred physical and mechanical characteristics for customer applications. Most products we manufacture are customized orders. During 2013, at certain of our facilities, we began to offer metal injection molding

("MIM"). Through the addition of MIM, we believe that we will be able to expand our ability to die-cast components using a wider variety of metals. The MIM process is suitable for die casting using stainless steel, titanium and copper.

We believe the threat of large tonnage competitors is low due to their lack of technological expertise and manufacturing capabilities for small components. We benefit from well-established and long-term relationships with our diversified customer base. On average, the length of our relationship with the majority of our top 10 customers is greater than 15 years. We believe that we are the sole source supplier to our customers for many of the products that we manufacture.

We believe we are the only company in the small component die casting market that can provide a full range of engineered solutions on a global basis. We believe we are well positioned to secure additional business from our current customers through our 22 facilities in 16 countries across North America, Europe and Asia.

History and Development

The operating history of the Dynacast business dates back to the original company's founding in the United States in 1926. The original company engaged in the manufacture of small die cast components in the U.S. and Canada. In the 1960s, the original company's business was acquired by a U.K. textile company with operations in the U.S. Subsequently, operations expanded to Europe and Asia. In 1999, the original company's business was acquired by a U.K. private equity firm which, in turn, sold the business to Melrose in 2005. Melrose owned the Dynacast business until it was sold in the Acquisition.

Market Overview

Die casting is a metallurgical fabrication process used to mass produce precision engineered parts in many different applications and across multiple industries. According to the North American Die Casting Association and our management, die casting of small-sized precision parts has several advantages compared to other metallurgical processes:

- *Cost savings.* Die casting is a cost-effective process for manufacturing metal components. The high volume nature of die casting offers production scale efficiencies. Furthermore, multi-slide die casting production can further reduce costs by combining several components into a single die cast component, allowing for the manufacture of complex parts in a single process.
- *High speed production.* Die casting generates complex shapes within closer tolerances than many other mass production processes. Little or no machining is required and millions of identical castings can be produced before additional tooling is required.
- *Dimensional accuracy and stability.* Die casting produces heat resistant parts that are durable and dimensionally stable, while maintaining close tolerances.
- *Strength-to-weight ratio.* Die cast parts are stronger than those produced by many alternative processes such as plastic injection molding. In addition, because die castings do not consist of separate parts welded or fastened together, the strength is that of the alloy rather than the joining process.

- *Multiple finishing techniques.* Die cast parts can be produced with smooth or textured surfaces and are easily plated or finished with minimum surface preparation.
- *Simplified assembly.* Die castings provide integral fastening elements, such as bosses and studs. Holes can be cored and made to tap drill sizes, or external threads can be cast.

The market can be segmented by the metal alloy that serves as the base of the casted part. Die casting employs only non-ferrous metals. Commonly used non-ferrous metals for die casting include zinc, aluminum, and magnesium. As discussed above, the MIM process is suitable for die casting stainless steel, titanium and copper.

- *Zinc.* Given its strength and hardness, high thermal conductivity, low cost, superb dimensional accuracy and stability, zinc is a preferred metal for small, high precision components and a good alternative to machined, pressed, stamped and fabricated components.
- *Aluminum.* Aluminum is the most widely used non-ferrous metal alloy in die casting. Given its high strength-to-weight ratio, aluminum is a commonly used alternative to steel. TechNavio's analysts forecast the global aluminum die casting market to grow at a compound annual growth rate of 11.89% over the period 2012-2016. One of the key factors contributing to this market growth is the increasing need for superior-quality products. The global aluminum die casting market has also been witnessing the increase in outsourcing of manufacturing activities to the Asia Pacific region.
- *Magnesium.* Small magnesium components are typically used in non-automotive applications, most commonly in electronic devices, given its high strength-to-weight ratio (higher than aluminum) and its properties of electromagnetic impulse shielding and thermal conductivity.

Segments

We have three reportable geographic segments: Asia Pacific, Europe and North America. Each of the segments is a supplier of die cast parts and components. Each segment also earns revenue from the sale of tools developed for specific die cast parts, including multi-slide zinc, conventional zinc and conventional aluminum die casting.

Asia Pacific

Our Asia Pacific segment operates eight manufacturing facilities in China, India, Indonesia, Malaysia, Singapore and South Korea. For the years ended December 31, 2013 and 2012, the Asia Pacific reportable segment's net sales were \$236.0 and \$206.3 million and operating income was \$36.3 and \$28.9 million, respectively. For the period July 20, 2011 through December 31, 2011 (the "Successor 2011 Period"), the Asia Pacific reportable segment had net sales of \$75.2 million and operating income of \$8.5 million. For the period January 1, 2011 through July 19, 2011 (the "Predecessor 2011 Period"), the Asia Pacific reportable segment had net sales of \$80.2 million and operating income of \$13.2 million. Total assets for the Asia Pacific reportable segment were \$306.2 and \$291.8 million as of December 31, 2013 and 2012, respectively.

Europe

Our Europe segment operates eight manufacturing facilities in Austria, France, Germany, Italy, Slovenia, Spain and the United Kingdom. For the years ended December 31, 2013 and 2012, the Europe reportable segment's net sales were \$184.3 and \$170.6 million and operating income was \$22.7 and \$21.9 million, respectively. For the Successor 2011 Period, the Europe reportable segment had net sales of \$78.3 million and operating income of \$13.4 million. For the Predecessor 2011 Period, the Europe reportable segment had net sales of \$110.8 million and operating income of \$22.6 million. Total assets for the Europe reportable segment were \$422.8 and \$414.1 million as of December 31, 2013 and 2012, respectively.

North America

Our North America segment operates six manufacturing facilities in Canada, Mexico and the United States. For the years ended December 31, 2013 and 2012, the North America reportable segment's net sales were \$159.7 and \$142.5 million and operating income was \$26.1 and \$23.1 million, respectively. For the Successor 2011 Period, the North America reportable segment had net sales of \$58.3 million and operating income of \$8.7 million (as recast, as discussed in more detail in Note 2 to the audited consolidated and combined financial statements contained under Item 8 of Part II in this Form 10-K). For the Predecessor 2011 Period, the North American reportable segment had net sales of \$75.9 million and operating income of \$8.9 million. Total assets for North America were \$206.8 and \$192.1 million (as recast) as of December 31, 2013 and 2012, respectively.

Our facilities position us to meet the growing demands of large multinational corporate customers. We are focused on aligning our manufacturing sites and production capacity with our customer base to help increase revenue and improve response time to customer demand. Recently, we expanded our presence in Batam, Indonesia (2013); Cuautitlan Izcalli, Mexico (2013); Dongguan, China (2013); Elgin, Illinois (2013); Lake Forest, California (2012); Shanghai, China (2012); Weiner Nuestadt, Austria (2012); and Melaka, Malaysia (2011). See "Properties" under Item 2 of Part I of this Form 10-K.

We derive a large portion of our revenue from each of the regions in which we operate. This global footprint allows us to transfer capacity within and between regions as needed. Most of our facilities provide both multi-slide and conventional die casting as well as a wide range of value added services (e.g., polishing, coating) and secondary operations (e.g., computer numerical controlled ("CNC") machining, tapping, tumbling).

Presence in Asia

We have had a presence in Asia since 1979 when we opened our first facility in Singapore. Since then we have invested significantly in Asia and developed high quality manufacturing facilities which enable us to produce components with the same precision and tolerance requirements as in our European and North American manufacturing facilities. Through our existing facilities in China, India, Indonesia, Malaysia, Singapore and South Korea, we believe that Dynacast has developed the largest network of precision die casting facilities in the Asia region.

Growth in Asia, particularly in China, has been in direct response to customer demands, particularly from established multinational corporations (“MNCs”) in the region. We see opportunity to replicate the success of our Shanghai facility in more regions in China.

International Business Development Group

The International Business Development Group (the “IBD Group”) was established in early 2010 and includes five dedicated global sales managers, each having a sales target with global multinational accounts. Each IBD Group manager is charged with building a portfolio of business that generates at least \$15.0 million per year in revenue. Revenue from target accounts frequently exceeds \$500,000 annually.

The IBD Group is responsible for:

- Organizing global account teams who provide direct service and continuity to MNCs;
- Capturing MNC accounts seeking to discuss concepts and commercial terms in one region while manufacturing in our lower-cost facilities around the world; and
- Coordinating with local plant General Managers to maintain current information on local trends.

We also use our global network of facilities to win business from locally-based customers. If one of our facilities is operating near capacity and cannot provide a customer with a competitive price, quotes can be internally re-bid to our facilities with spare capacity. This allows us to offer the most competitive price to our customers and avoid losing business to competitors.

The IBD Group has already made significant progress capturing global accounts, highlighting the importance and the growth potential of the IBD Group’s work.

We actively target MNCs and currently have more than 50 accounts that are either current IBD customers or prospective IBD customers at December 31, 2013. Management expects continued strong performance from the IBD Group as the managers further develop their customer relationships and grow their coverage network.

Focus on Small-Sized Die Cast Components

We built and developed our proprietary technology and tooling capabilities with a focus on small die cast components. This accumulated knowledge has resulted in an established and leading position for us in our market with better quality machines, higher product quality, and extensive design and engineering skills. We have the ability to produce more complex parts with our proprietary multi-slide die casting than our competitors at a lower cost.

Proprietary Multi-Slide Technology

Our proprietary multi-slide technology was introduced in 1936 and we continually improve this technology. Our multi-slide machines are currently developed and manufactured in our German facility. In order to protect our technology, a strategic decision was made in 1968 to discontinue selling our machines externally, thus keeping technological innovations out of the public domain. In 2007 we acquired the Techmire technology from which we sell a small

number of machines annually to only original equipment manufacturers and existing Techmire customers.

While our proprietary multi-slide technology is unpatented, we believe it would be challenging for anyone to replicate it, as the technology has been built on decades of experience. We do have certain patents on our Techmire technology.

We have developed multi-slide die casting machines that allow us to:

- manufacture more complex components than would otherwise be possible through conventional die casting or alternative manufacturing methods;
- combine components, thereby reducing secondary machining and eliminating assembly operations;
- reduce secondary machining and scrap that does not have excess metal, which reduces costly secondary machining; and
- replicate tight tolerances to standards at high volumes without costly additional operations due to high quality tooling, precision construction and relatively low wear-and-tear.

We have established a seamless manufacturing approach by integrating our proprietary multi-slide technology and our in-house tooling capabilities. This integrated approach allows us to produce components at a higher quality standard and create a natural barrier against technology transfer and customer exit. In-house machine development lowers our total capital expenditure spending as we incur only costs of machine components and assembly form.

Conventional Die Casting

In addition to our proprietary multi-slide die casting process, we also have expertise in conventional die casting methods. We use our advanced computer-aided engineering capabilities and expertise related to multi-slide die casting to differentiate ourselves from competitors in the conventional die casting market. Since we operate smaller tonnage machines, we avoid greater levels of competition and pricing pressure associated with conventional die casting in the large component sector.

Die Casting Capabilities in Zinc, Aluminum and Magnesium

We manufacture more than one billion small-sized die cast components per year. We have the capability to die cast components in zinc, aluminum and magnesium. We derived approximately 39.1% of our 2013 revenue from zinc components utilizing multi-slide technology and 27.3% utilizing conventional zinc die casting. Aluminum castings accounted for approximately 19.8% of our revenues in 2013. In 2012, in response to customer demand we began aluminum die casting at our manufacturing facility in Austria to capture the European market, which accounted for \$6.0 million in sales in 2013. Magnesium castings accounted for approximately 1.8% of our revenues in 2013. We believe the primary opportunity for growth in magnesium is in precision die casting of consumer electronics parts, primarily in Asia.

Metal Injection Molding

In 2013 we introduced MIM into our product line at our manufacturing facilities in Elgin, Illinois and Singapore/Indonesia. Our Indonesia facility will provide ancillary services to Singapore's MIM operation. MIM is a metallurgic fabrication process that allows complex parts to be produced in stainless steel, titanium and other specialized alloys for applications where enhanced fatigue and corrosion resistance is required. MIM is complementary to our proprietary multi-slide and conventional die casting processes in zinc, aluminum and magnesium and is similarly cost-effective for small, intricate, high volume products.

Customer Base

Our top 10 customers accounted for approximately 36.4% of 2013 net sales. Our largest customer accounted for approximately \$46.4 million, or 8.0%, of net sales for the year ended December 31, 2013. Sales to the automotive safety and electronics, consumer electronics, telecommunications and healthcare end markets represented 38.2%, 20.6%, 7.6% and 7.3%, respectively, of our 2013 revenues. Sales to the hardware, computer and peripherals and tooling end markets accounted for 17.8% of our 2013 net sales.

Flexible and Cost Efficient Business Model

Our business model provides us with operational flexibility, sharing best practices and quality performance among our facilities. In addition to a quick time to market response, the seamless integration of our multi-slide machines and associated tooling allows for minimal set-up time for tooling changes (between 30 and 45 minutes). Through reduced set-up times, we respond promptly and efficiently to increases in demand, which in turn allows us to benefit from increases in customer activity. In addition, through just-in-time manufacturing processes, we maintain a low level of inventory (with an average inventory turnover over the last three fiscal years of approximately 36 days).

Well-Invested Business with Low Capital Requirements

We align our production capacity with the needs of our customer base. During the year ended December 31, 2013, we invested a significant portion of the approximately \$39.7 million in total capital expenditures on new facilities and machinery in order to be strategically situated to capture higher sales volumes. Notably, we require little infrastructure spending, with a majority of our expansion capital expenditures focused on adding new production equipment. For fiscal year 2014, we have budgeted approximately \$29.2 million in capital expenditures of which \$2.4 million is attributable to MIM.

Organizational Structure; Workforce

Our organizational structure is built around local facilities led by General Managers who are highly motivated and focused on delivering a set business plan. The average tenure of our General Managers is approximately 15 years.

We operate under a highly decentralized organizational structure with each of the General Managers in our North America reportable segment reporting directly to our Chief Executive Officer, while the General Managers in our Asia Pacific and Europe reportable segments report directly to the respective Executive Vice-President for each region. Senior management

provides critical centralized sales and marketing coordinating functions, analyzes key performance indicators and reviews and implements best practices and financial controls.

We have been able to promote the General Managers of our facilities internally. For example, most facilities in the Asia Pacific region are led by managers previously at Dynacast Singapore. These managers transferred manufacturing standards developed in the Singapore facility to the new Asian plants, establishing similar organizational structures and operations.

Employees

As of December 31, 2013, we had approximately 5,510 employees worldwide, some of whom are covered by collective bargaining agreements or are located in countries which have collective arrangements decreed by statute.

In-House Tooling Expertise

We believe we are one of the few die cast component manufacturers that has full in-house tooling design and build capabilities. We have the ability to build tooling in all of our facilities and maintain a dedicated tooling facility in Germantown, Wisconsin that can supply tooling to our plants globally.

Suppliers

We have excellent working relationships with a limited number of suppliers of metal alloys and providers of finishing services. This past year, we purchased over 49,000 tons of metal alloys from locally-based suppliers in the proximity of each of our manufacturing facilities, reducing transportation costs. Given the volume of purchasing, we enjoy benefits of scale securing certain volume purchase discounts from our vendors, and have significantly more leverage than our smaller competitors.

Each of our manufacturing facilities has a network of local partners that work very closely with us to deliver additional value-added services for manufactured components. Through these local partnerships, we can provide a greater breadth of service to our customers.

Competition

Our competition is generally fragmented. We compete principally with companies providing similar services on a regional and local level and to some extent with those customers with in-house manufacturing capabilities. We face different competitors in each country or region where they may have a greater operational presence. Competitive factors include price, service, geographic coverage and overall performance (e.g. timeliness, accuracy and flexibility). We believe that our principal competitive advantages include an approach reflecting long-term business partnership and reliability, innovative specialized solutions, ability to provide a full range of solutions on a global basis, product quality and conformity to customer specifications, design and engineering capabilities, product development, timeliness of delivery and price.

Backlog

A significant proportion of our customers are not contractually obligated to purchase products and services from us, and place purchase orders as needed to fulfill their anticipated product demand schedules. Our products are highly specialized and specific to each customer's individual requirements, so we do not attempt to anticipate customer demand and do not commence manufacturing products until we receive a purchase order from the customer. In addition, our larger customers operate under a "just-in-time" delivery system, whereby purchase orders are not placed until the customer is confident that our products are required. Accordingly, the value of unshipped orders is not material.

Seasonality

Certain of our manufacturing facilities have seasonal fluctuations. Sales in the European region are generally weaker in the third quarter as many of our European customers and our manufacturing facilities themselves are closed for several weeks for the summer holiday. Likewise, sales in the Asia Pacific region are generally stronger in the consumer electronics end market during the third and fourth quarters as our customers prepare for the holiday season.

Working Capital

We manufacture products to customer specifications that usually must be readily available to meet our customers' rapid delivery requirements. Therefore, we maintain an adequate level of working capital to support our business needs and our customers' requirements. Such working capital requirements are not, however, in the opinion of management, materially different from those experienced by our competitors. We believe our sales and payment terms are competitive in and appropriate for the regions in which we compete.

Environmental Health & Safety

Our operations are subject to environmental and health and safety laws and regulations which govern the discharge of pollutants into the air and water, as well as the handling and disposal of solid and hazardous wastes. We believe that our operations are currently in substantial compliance with applicable environmental laws and regulations and that the costs of continuing compliance will not have a material effect on our financial condition or results of operations. See also "Risk Factors— We are subject to various environmental, health and safety laws and regulations and have related compliance expenditures and liabilities which may result in significant costs."

Patents and Other Proprietary Rights

Most of the technology used in our business is unpatented, but is protected by trade secrets and nondisclosure and confidentiality agreements. Our name recognition is a valuable asset that we protect with trademark registrations and applications, and registered domain names worldwide. We are not currently engaged in any intellectual property litigation, nor are there any intellectual property claims pending either by or against us.

Source: Company 10-K

Exhibit 3

Consolidated Income Statements, Unaudited

(IN MILLIONS OF DOLLARS)

	September 30, 2014	September 30, 2013	September 30, 2014	September 30, 2013
Net sales	\$ 157.0	\$ 146.0	\$ 465.5	\$ 428.8
Costs of goods sold	(117.6)	(110.9)	(354.1)	(324.1)
Gross margin	39.4	35.1	111.4	104.7
Operating expenses:				
Selling, general and administrative expense	(18.0)	(16.4)	(52.9)	(50.2)
Total operating expenses	(18.0)	(16.4)	(52.9)	(50.2)
Operating income	21.4	18.7	58.5	54.5
Other income (expense):				
Interest expense	(11.6)	(11.9)	(34.5)	(36.4)
Other expense, net	(0.2)	(0.3)	(2.8)	(4.5)
Income before income taxes	9.6	6.5	21.2	13.6
Income tax expense	(1.1)	(3.4)	(8.4)	(10.6)
Net income	8.5	3.1	12.8	3.0
Less: net income attributable to non-controlling interests	(0.1)	(0.1)	(0.3)	(0.2)
Net income attributable to controlling stockholders	\$ 8.4	\$ 3.0	\$ 12.5	\$ 2.8

FOR THE YEAR ENDED

(IN MILLIONS OF DOLLARS)

	December 31, 2013	December 31, 2012
Net sales	\$ 580.0	\$ 519.4
Costs of goods sold	(441.7)	(398.0)
Gross margin	138.3	121.4
Operating expenses:		
Selling, general and administrative expense	(68.9)	(62.1)
Transaction costs	-	(0.6)
Restructuring expense	-	(0.5)
Total operating expenses	(68.9)	(63.2)
Operating income	69.4	58.2
Other income (expense):		
Interest expense	(47.9)	(48.7)
Other (expense) income	(5.7)	(3.2)
Income before income taxes	15.8	6.3
Income tax expense	(14.6)	(6.9)
Net income	1.2	(0.6)
Less: net income attributable to non-controlling interests	(0.4)	(0.3)
Less: Series A preferred stock dividends and accretion	-	(0.2)
Net income attributable to controlling stockholders	\$ 0.8	\$ (1.1)

Source: Company 10-K

Exhibit 4

Consolidated Balance Sheet, Unaudited (as of 09/30/14)

(IN MILLIONS OF DOLLARS)

	September 30, 2014	December 31, 2013
Assets		
Current assets		
Cash and cash equivalents	\$ 40.3	\$ 36.8
Accounts receivable, net	108.0	97.0
Inventory, net	49.7	45.0
Prepays and other assets	18.0	15.2
Deferred income taxes	5.9	4.9
Total current assets	221.9	198.9
Property and equipment, net	153.3	148.7
Intangible assets, net	240.8	249.0
Goodwill	264.4	246.7
Deferred financing costs, net	13.4	15.7
Deferred income taxes	4.3	5.1
Other assets	4.3	4.6
Total assets	\$ 902.4	\$ 868.7
Liabilities and Equity		
Current liabilities		
Accounts payable	\$ 65.6	\$67.7
Income taxes payable	6.2	5.8
Accrued expenses and other liabilities	54.0	53.4
Accrued interest	6.9	15.0
Deferred revenue	12.4	12.2
Current portion of accrued pension and retirement benefit obligations	0.7	0.8
Current portion of long-term debt	19.5	5.6
Deferred income taxes	0.6	0.4
Total current liabilities	165.9	160.9
Accrued interest and dividends	17.9	17.9
Accrued pension and retirement benefit obligations	21.1	22.5
Long-term debt, net	413.5	384.7
Mandatorily redeemable preferred stock	53.0	53.0
Warrants	21.7	15.6
Deferred income taxes	67.9	68.9
Other liabilities	15.0	9.7
Total liabilities	776.0	733.2
Puttable common stock	1.5	1.5
Equity		
Common stock	0.2	0.2
Additional paid-in capital	167.5	167.5
Accumulated foreign currency translation adjustment, net	(32.0)	(10.5)
Unrealized loss on cash flow hedges, net	(0.5)	(0.2)
Cumulative unrealized pension loss, net	(2.2)	(2.3)
Accumulated deficit	(12.3)	(24.8)
Total equity attributable to controlling stockholders	120.7	129.9
Non-controlling interests	4.2	4.1
Total equity	124.9	134.0
Total liabilities and equity	\$ 902.4	\$ 868.7

Source: Company 10-K

Exhibit 5

Consolidated Statements of Cash Flows, Unaudited

(IN MILLIONS OF DOLLARS)

	Nine Months Ended	
	September 30, 2014	September 30, 2013
Cash flows from operating activities		
Net income	\$ 12.8	\$ 3.0
Adjustments to reconcile net income to cash provided by operating activities:		
Depreciation and amortization	29.4	25.5
Amortization of deferred financing costs	3.0	3.7
Deferred income taxes	(6.4)	(2.2)
Change in fair value of warrants	6.1	4.8
Accrued dividends on mandatorily redeemable preferred stock	5.3	6.2
Gain on insurance receivable	(2.3)	-
Other	(0.6)	0.3
Changes in operating assets and liabilities:		
Accounts receivable	(8.7)	(10.3)
Inventory	(0.9)	(1.4)
Prepays and other assets	1.7	(1.9)
Accounts payable	(0.6)	(7.7)
Income taxes payable	4.6	2.8
Accrued expenses	5.7	10.3
Accrued interest and dividends	(8.1)	(8.1)
Other	(4.6)	6.6
Net cash flows provided by operating activities	36.4	31.6
Cash flows from investing activities		
Business acquisition	(45.1)	-
Capital expenditures	(22.9)	(26.8)
Settlement of derivative contracts	(0.4)	0
Cash flows used in investing activities	(68.4)	(26.7)
Cash flows from financing activities		
Proceeds from term loan	45.0	-
Draws on revolver	-	9.0
Repayments on revolver	-	(9.0)
Draw on line of credit facility	4.8	2.4
Repayment on line of credit facility	(4.8)	(2.4)
Proceeds from ERP loan	-	5.8
Debt issuance costs	(0.8)	(0.6)
Dividends paid to non-controlling interests	(0.1)	(0.1)
Dividends paid to holders of mandatorily redeemable preferred stock	(5.3)	-
Repayments on long-term debt	(1.9)	(8.1)
Net cash flows used in financing activities	36.9	(3.0)
Effect of exchange rate changes on cash and cash equivalents	(1.4)	(0.1)
Net change in cash and cash equivalents	3.5	1.8
Cash and cash equivalents		
Beginning of period	36.8	28.0
End of period	\$ 40.3	\$ 29.8

Exhibit 5 (continued)

(IN MILLIONS OF DOLLARS)

	For the Year ended	
	December 31, 2013	December 31, 2012
Cash flows from operating activities		
Net income (loss)	\$ 1.2	\$ (0.6)
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Depreciation and amortization	34.7	32.6
Amortization of deferred financing costs	4.6	3.6
Change in fair value of derivatives	0.1	(0.3)
Deferred income taxes	(2.2)	(4.6)
Change in fair value of warrants	6.1	3.4
Beneficial conversion value of Series A preferred stock	—	0.9
Accrued dividends on mandatorily redeemable preferred stock	8.0	8.5
Other	1.7	0.6
Changes in operating assets and liabilities:		
Accounts receivable	(8.7)	(20.0)
Inventory	(8.0)	(3.4)
Prepaid and other assets	(4.3)	(1.4)
Accounts payable	5.1	14.0
Income taxes payable	4.7	0.4
Accrued expenses	4.3	0.3
Other	6.0	(1.6)
Net cash flows provided by operating activities	53.3	32.4
Cash flows from investing activities		
Capital expenditures	(39.7)	(22.0)
Settlements of derivative contracts	0.1	1.6
Net cash flows used in investing activities	(39.6)	(20.4)
Cash flows from financing activities		
Draws on revolver	9.0	24.5
Repayments on revolver	(9.0)	(24.5)
Draws on credit facility	4.9	—
Repayments on credit facility	(4.9)	—
Proceeds from ERP loan	5.8	—
Debt issuance costs	(0.6)	(1.2)
Dividends paid to non-controlling interests	(0.2)	(0.3)
Repayments on long-term debt	(8.1)	(5.0)
Dividends paid to holders of mandatorily redeemable preferred stock	(1.8)	—
Net cash flows used in financing activities	(4.9)	(6.5)
Effect of exchange rate changes on cash and cash equivalents	—	1.4
Net change in cash and cash equivalents	8.8	6.9
Cash and cash equivalents		
Beginning of year/period	28.0	21.1
End of year/period	\$ 36.8	\$ 28.0

Source: Company 10-K

Exhibit 6

Consolidated EBITDA Reconciliations

(IN MILLIONS OF DOLLARS)

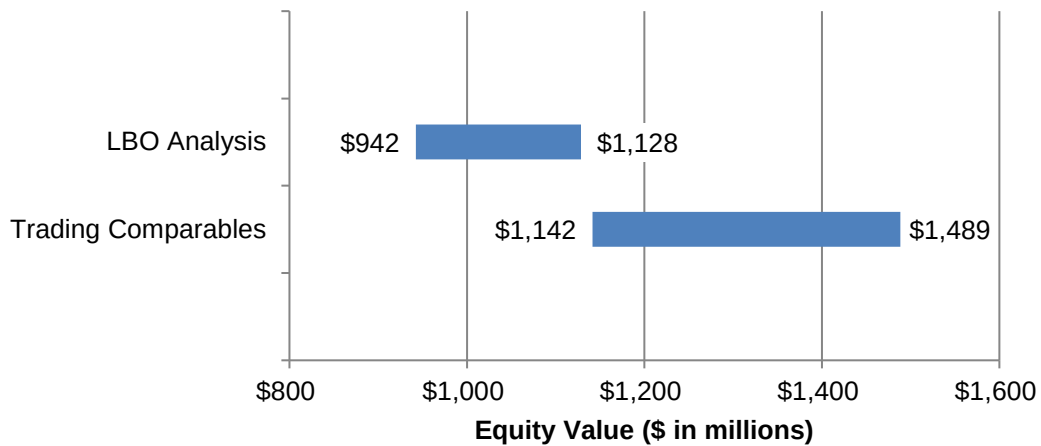
	Europe	Asia	North America	Corporate	Total	Europe	Asia	North America	Corporate	Total
Sales	\$154.4	\$181.4	\$129.7	\$ --	\$465.5	\$138.3	\$169.1	\$121.4	\$ --	\$428.8
Net income	\$ 19.4	\$ 23.5	\$ 3.9	\$ (34.0)	\$ 12.8	\$ 16.6	\$ 20.6	\$ 5.7	\$ (39.9)	\$ 3.0
Income taxes	5.8	5.8	17.2	(20.4)	8.4	2.8	5.0	16.6	(13.8)	10.6
Interest expense	1.0	0.1	0.1	33.3	34.5	1.3	0.1	--	35.0	36.4
Other (exp.) income	(5.1)	(0.2)	--	8.1	2.8	(2.9)	(0.1)	--	7.5	4.5
Oper. Income	21.1	29.2	21.2	(13.0)	58.5	17.8	25.6	22.3	(11.2)	54.5
Depreciation & amortization	11.4	10.8	7.1	0.1	29.4	10.1	9.5	5.8	0.1	25.5
EBITDA	32.5	40.0	28.3	(12.9)	87.9	27.9	35.1	28.1	(11.1)	80.0
Non-controlling interests in EBITDA	--	(0.9)	--	--	(0.9)	(0.1)	(0.6)	--	--	(0.7)
Management fees	--	--	--	1.9	1.9	--	--	--	1.9	1.9
Transaction costs	--	--	--	1.4	1.4	--	--	(0.9)	--	(0.9)
Adj. EBITDA	\$ 32.5	\$ 39.1	\$ 28.3	\$ (9.6)	\$ 90.3	\$ 27.8	\$ 34.5	\$ 27.2	\$ (9.2)	\$ 80.3

For the Year Ended										
December 31, 2013					December 31, 2012					
	Europe	Asia Pacific	North America	Corporate	Total	Europe	Asia	North America	Corporate	Total
Net sales	\$184.3	\$236.0	\$159.7	\$ --	\$580.0	\$170.6	\$206.3	\$142.5	\$ --	\$519.4
Net income	\$19.8	\$30.8	\$23.9	\$ (73.3)	\$1.2	\$18.5	\$25.5	\$21.6	\$ (66.2)	\$ (0.6)
Income taxes	5.0	5.2	2.2	2.2	14.6	4.5	3.2	1.6	(2.4)	6.9
Interest expense	1.7	0.2	--	46.0	47.9	1.7	0.2	--	50.2	52.1
Other (exp.) income	(3.8)	(0.3)	--	9.8	5.7	(3.5)	(0.1)	(0.3)	3.7	(0.2)
Oper. Income	22.7	35.9	26.1	(15.3)	69.4	21.2	28.8	22.9	(14.7)	58.2
Depreciation & amortization	13.8	12.9	7.9	0.1	34.7	12.5	12.8	7.1	0.2	32.6
EBITDA	36.5	48.8	34.0	(15.2)	104.1	33.7	41.6	30.0	(14.5)	90.8
Non-controlling interests in EBITDA	(0.1)	(1.0)	--	--	(1.1)	(0.1)	(0.8)	--	--	(0.9)
Management fees	--	--	--	2.5	2.5	--	--	--	2.5	2.5
Impact of change in accounting principle as applied to prior periods	--	--	(0.9)	--	(0.9)	--	--	--	--	--
Restruct. Sever.	--	--	--	--	--	0.5	--	--	--	0.5
Transaction costs	--	--	--	--	--	0.4	--	--	0.2	0.6
Adj. EBITDA	\$36.4	\$47.8	\$33.1	\$ (12.7)	\$104.6	\$34.5	\$40.8	\$30.0	\$ (11.8)	\$93.5

Source: Company 10-K.

Exhibit 7

Enterprise Value Football Field (as of 11/19/14)



Source: Partners Group

Exhibit 8

Trading Comps (as of 11/19/14)

#	Ticker	Name	Country	Stock Price (Issue curr.)	52-wk low	52-wk high	Market cap. (USD m)	T12M EV / EBITDA (x)	T12M P/E (x)	Est curr yr P/E (x)	Next-yr P/E (x)	T12M P/S (x)	P/B (x)
1	PCP US	Precision Castpt	United States	232.5	215.1	275.1	33,143	11.8	18.4	17.0	14.8	3.4	2.8
2	LEG US	Leggett & Platt	United States	41.0	28.8	41.5	5,648	19.6	24.8	22.6	19.8	1.5	4.6
3	TKR US	Timken Co	United States	42.7	36.0	50.0	3,786	9.2	17.9	16.9	13.6	1.0	2.3
4	KMT US	Kennametal Inc	United States	40.1	37.4	52.4	3,175	10.1	17.4	14.2	12.3	1.1	1.7
5	B US	Barnes Group Inc	United States	36.8	29.5	40.9	2,004	10.0	16.4	15.8	14.7	1.6	1.7
6	ROLL US	Rbc Bearings Inc	United States	62.8	50.0	69.0	1,467	13.3	23.0	27.1	18.9	3.3	2.9
7	TRS US	Trimas Corp	United States	31.7	23.7	40.6	1,436	10.0	17.0	16.6	13.8	1.0	2.4
8	KALU US	Kaiser Aluminum	United States	73.0	65.6	81.6	1,299	7.5	16.0	21.4	16.2	1.0	1.2
9	RTI US	Rti Intl Metals	United States	24.0	21.7	36.1	736	10.2	37.7	23.7	16.2	0.9	0.9
METAL & DIE CASTING MEDIAN							2,004	10.1	17.9	17.0	14.8	1.1	2.3
METAL & DIE CASTING AVERAGE							5,855	11.3	21.0	18.9	15.6	1.6	2.3
10	IEX US	Ilex Corp	United States	76.6	65.9	81.8	6,080	12.4	21.9	21.6	19.7	2.9	3.8
11	CSL US	Carlisle Cos Inc	United States	90.7	71.5	90.9	5,817	11.3	23.9	22.4	18.5	1.8	2.7
12	CR US	Crane Co	United States	61.1	55.0	77.0	3,601	10.9	16.9	13.7	12.5	1.2	2.9
13	ATU US	Actuant Corp-A	United States	31.0	28.5	39.3	2,011	9.2	16.2	14.8	12.8	1.6	2.0
14	MEI US	Methode Elec	United States	38.3	23.1	41.9	1,463	12.3	14.3	17.7	15.3	1.8	3.5
15	GB US	Greatbatch Inc	United States	49.0	38.0	51.6	1,225	12.5	20.3	20.7	18.8	1.7	2.0
16	SMA US	Symmetry Medical	United States	9.4	7.8	11.1	354	13.6	62.2	17.3	14.6	0.9	1.3
SPECIALTY MANUFACTURING MEDIAN							2,011	12.3	20.3	17.7	15.3	1.7	2.7
SPECIALTY MANUFACTURING AVERAGE							2,936	11.7	25.1	18.3	16.1	1.7	2.6
TOTAL MEDIAN							2,007	11.1	18.2	17.5	15.1	1.5	2.4
TOTAL AVERAGE							4,578	11.5	22.8	18.6	15.8	1.7	2.4

Source: Partners Group

Exhibit 9

Directors and Executive Officers

The following table sets forth our executive officers and directors. The respective age of each individual in the table below is as of January 1, 2014:

Name	Age	Position
Simon J. Newman	51	President, Chief Executive Officer and Director
Adrian Murphy	53	Secretary, Treasurer and Chief Financial Officer
David Angell	42	Executive Vice President - Asia
Josef Ungerhofer	50	Executive Vice President - Europe
Thomas Fort	33	Director
Jeffrey L. Kenner	70	Director (Chairman)
Stephen E. Paul	46	Director
Larry T. Solari	71	Director
Stephen Wertheimer	63	Director

Each of the persons listed above has been a member of the Board of Directors or an executive officer of Dynacast since the closing of the Transactions on July 19, 2011, except for Mr. Kenner, who has been a director of Dynacast since its incorporation on May 11, 2011 and Mr. Ungerhofer who has been an executive officer of Dynacast since January 1, 2013.

With respect to our non-employee directors, Messrs. Kenner and Solari are affiliates of Kenner, Mr. Wertheimer is an affiliate of W Capital Partners, Mr. Fort is a partner of Izurium Capital Advisers Europe LLP and Mr. Paul is a principal of Laurel Crown Partners, LLC. Each of these individuals was elected as a director pursuant to a security holders' agreement. See "Certain Relationships and Related Party Transactions."

The principal occupations and positions for at least the past five years of the directors and executive officers named above are as follows:

Simon J. Newman

Simon J. Newman is a Director, and the President and Chief Executive Officer of Dynacast. Prior to the Transactions, he was the Chief Executive Officer of the Dynacast business of Melrose, a position he held since 2002. Mr. Newman joined Dynacast in 1979 and has served in a number of capacities, spending time in all areas of the business, including, Finance, Quality, Engineering, Customer Service, Manufacturing and Sales. After successfully managing and building a new facility in California he was promoted to the position of VP Operations for the SPM group, a plastics company acquired by Dynacast. He spent two years in this role before becoming the President of Dynacast North America, a position he held before becoming the CEO in 2002. Mr. Newman studied Mechanical Engineering in England and after relocating to the United States in 1991, he continued his studies and graduated with a BS degree in Operations Management.

Adrian Murphy

Adrian Murphy is the Secretary, Treasurer and Chief Financial Officer of Dynacast. Prior to the Transactions, he was the Executive Vice President and Chief Financial Officer of the Dynacast business of Melrose, a position he held since 2005. Mr. Murphy initially joined Dynacast in 1990 to lead a reorganization project in New York and was subsequently appointed as the Group Financial Controller in Dynacast's head office in England. Following Dynacast's acquisition of the SPM group, a plastics company, Mr. Murphy relocated to California where he held the position of Vice President of Finance in the new SPM division. Mr. Murphy left Dynacast in 1997 and prior to re-joining served as the Divisional Chief Financial Officer at Linamar Corporation. Mr. Murphy qualified as a chartered accountant with Price Waterhouse & Co. in Manchester, England and has a Bachelor of Commerce degree from the University of Liverpool.

David J. Angell

David Angell is the Executive Vice President—Dynacast Asia Pacific. Mr. Angell has served in this position since 2003. Mr. Angell joined Dynacast in 1993 as a management trainee. He spent two years in this role prior to relocating to the USA where he held various management roles in Sales and Engineering. He was appointed General Manager of Dynacast Lake Forest in 1999. In 2000, Mr. Angell relocated to South Carolina where he was also responsible for the Dynacast facilities in Texas and Mexico. Mr. Angell earned a Master's degree in Mechanical Engineering from the University of Birmingham.

Josef Ungerhofer

Josef Ungerhofer, is the Executive Vice President—Dynacast Europe. Mr. Ungerhofer joined Dynacast in 1989 and during his career at Dynacast Mr. Ungerhofer has held a variety of positions including sales engineer and sales manager, with part time responsibility for engineering prior to being promoted to General Manager of our facility in Austria in 2000. He currently serves as General Manager of our facility in Austria (a position he has held since 2000) as well as Executive Vice President – Europe effective January 2013. Prior to joining Dynacast, Mr. Ungerhofer worked as supervisor for Huick, a felt manufacturer for paper machines, and also as a Manager of Tooling and Engineering for NSW, a mass producer of fasteners. Mr. Ungerhofer holds a degree in mechanical engineering (Ing.) and attended the Warwick Business School in London and St. Gallen Management & Business School in Switzerland.

Thomas Fort

Thomas Fort is a partner of Izurium Capital Advisers Europe LLP ("Izurium"), a position he has held since 2009. Mr. Fort is focused on the sourcing and execution of European and U.S. deal opportunities. From 2006 to 2009, Mr. Fort was an associate in the London office of Francisco Partners, where he focused notably on the execution of software and hardware transactions in Continental Europe. Prior to Francisco Partners, he worked for J.P. Morgan

Investment Bank in their French & Benelux Financial Institutions Group, where he participated in a number of M&A transactions in the banking sector and was involved in capital raising on behalf of global banking groups. Mr. Fort holds an MSc in Management from HEC Paris and is a graduate from Institut d'Etudes Politiques de Paris (Sciences-Po).

Jeffrey L. Kenner

Jeffrey L. Kenner is President of Kenner, a New York-based private equity investment firm. The firm's principal objective is to acquire ownership positions in private operating companies that need capital for growth or liquidity for current shareholders. Prior to forming Kenner in 1986, Mr. Kenner was President of the venture capital affiliate of an investment firm with whom he was employed since 1979. He began his career as a management consultant with Price Waterhouse & Co. He currently serves or has served on the boards of directors of Atrium Companies, Inc., a national window manufacturer, and Pace Industries, Inc., an aluminum die casting company. Mr. Kenner graduated from Lehigh University with degrees in Industrial Engineering and Business Administration. After graduating from Lehigh, he served in the U.S. Marine Corps and then attended Harvard Business School's Executive Education Program in Financial Management. Mr. Kenner is a member of the Board of Trustees of Reed College in Portland, Oregon and is a Trustee of National Public Radio.

Stephen E. Paul

Stephen E. Paul is a Managing Principal of Laurel Crown Partners, LLC ("Laurel"), a private investment company, a position he has held since 2001 and President of The Louis Berkman Investment Company, a position he has held since January 2013. Prior to joining Laurel and The Louis Berkman Company, Mr. Paul was a Vice President of Business Development of eToys, Inc. and an Associate at Donaldson, Lufkin & Jenrette, Inc. Mr. Paul serves on several boards of directors including Ampco-Pittsburgh Corporation, a public company, Pittsburgh Steelers Sports, Inc., Summit Reheis Investor Holdings, LLC and Native Foods Holdings Corporation. Mr. Paul was a director of Morton's Restaurant Group, a public company, until February 2011. In addition, he is a Trustee of The Loomis Chaffee School. Mr. Paul is a graduate of Cornell University and earned an M.B.A. from Harvard Business School.

Larry T. Solari

Larry T. Solari is a partner of Kenner, a position he has held since 2002. Prior to joining Kenner, Mr. Solari was the Chairman and Chief Executive Officer of BSI Holdings, Inc. ("BSI") from 1998 to 2001. Prior to starting BSI, Mr. Solari was the Chairman and Chief Executive Officer of Sequentia, Inc. and President of the Building Materials Group of Domtar, Inc. Mr. Solari was President of the Construction Products Group of Owens-Corning from 1986 to 1994 and held various other positions with Owens-Corning since 1966. Mr. Solari serves on or has served on the boards of directors of Beazer Homes, USA, a public company, Pacific Coast Building Products, Inc., Atrium Companies, Inc., TruStile Doors, LLC, Performance Contracting Group, Pace Industries, Inc. and Cascade Windows (to October 2012). Mr. Solari earned a Bachelor of

Science degree in Industrial Management and a Master of Business Administration degree from San Jose State University and is a graduate of Stanford University's Management Program.

Stephen Wertheimer

Stephen N. Wertheimer is a Managing Director and a founding partner of W Capital Partners ("W Capital"). Prior to the founding of W Capital in 2001, Mr. Wertheimer was the head of Paine Webber's Asia investment banking division in Tokyo, held senior roles at CRT Capital Group, founded Water Capital Management and was a tax structured international finance specialist at First Chicago and Bank of America. Steve is a member of the International Council of Advisors of The National Geographic Society. Mr. Wertheimer holds a MBA from the Kellogg School of Management at Northwestern University and a BS in Finance from Indiana University. Mr. Wertheimer has served on numerous boards of directors and is currently a director of El Paso Electric, a public company, MooseJaw and World Kitchen.

Source: Company 10-K

Exhibit 10

Risk Factors

Various risks and uncertainties could affect our business. The risks and uncertainties described below are not intended to be exhaustive but represent the risks that we believe are material based on current information. If any of the risks described below or elsewhere in this Form 10-K or our other filings with the SEC, or other risks and uncertainties not presently known to us or which we currently deem immaterial, actually occur, our business, financial condition, results of operations, liquidity or access to the capital markets could be materially adversely affected. All forward-looking statements made by us or on our behalf are qualified by the risks described below.

Economic conditions could have a material adverse effect on our business, results of operations and liquidity.

Our business is impacted by economic conditions in North America, Europe and Asia. The global recession, particularly in Europe, had, and may in the future have, a negative effect on our results of operations and liquidity. Reduced sales in Europe led to restructuring efforts by us in the region. Throughout Europe, despite signs of recovery from the recession, economic uncertainty continues and demand for our products remains unpredictable. Any resulting cost-cutting and further downsizing actions implemented by us also could have a negative economic effect on our suppliers and third party contractors, possibly increasing our costs and/or limiting availability of these sources. In addition, certain fixed costs in Europe could make it difficult to adjust our fixed costs base to the extent necessary, or to make such adjustments on a timely basis, which could impact our profitability. Restructuring programs beyond those already completed could also be required. A significant downturn, whether in Europe or elsewhere, could also result in impairment of our goodwill or other intangible assets, which could be material to our consolidated financial statements.

Any inability on our part to borrow or to meet our financial maintenance covenants in our Senior Secured Credit Facilities would affect our financing flexibility and could have a material adverse effect on our business, financial condition and results of operations.

The future availability of bank borrowings under the revolving credit facility of the Senior Secured Credit Facilities is based on our ability to meet financial maintenance covenants, which could be materially impacted by negative economic trends. Failure to meet the financial maintenance covenants could materially impact the availability and interest rate of future borrowings.

Disruptions, uncertainty or volatility in the credit markets may adversely impact the availability of credit already arranged and the availability and cost of credit in the future. These market conditions may limit our ability to replace, in a timely manner, maturing liabilities and access the capital necessary to grow and maintain our business. Accordingly, we may be forced to delay raising capital or pay unattractive interest rates, which could increase our interest expense, decrease our profitability and significantly reduce our financial flexibility.

We generally do not have long-term customer agreements and, to the extent one or more of our sales to particular end markets are impacted by sector downturns in that end market, we will experience reduced sales volumes.

The industry in which we compete is generally characterized by specialized, individual orders from customers. A significant portion of our customers are not contractually obligated to purchase products or services from us. Most customer orders are for specific product runs, and repeat business largely depends on our customers' satisfaction with our products. Although our business does not depend on any one customer, we cannot be sure that any particular customer will continue to do business with us for any period of time. We also depend to some extent on sales to certain end markets; to the extent these end markets experience downturns, our business, financial condition and results of operations may be adversely affected.

We are dependent on key customers, the loss of which may adversely affect our business.

We rely on several customers. Our top 10 customers accounted for approximately 36.4% of our net sales (inclusive of pass-through metal costs) during the year ended December 31, 2013. Our largest customer accounted for \$46.4 million or 8.0%, of net sales for the year ended December 31, 2013. Due to competitive pressures and changes in our customers' programs and program life-cycles, there is always the risk of losing key customers or programs. Customer order volumes are dependent upon their markets and may be subject to delays or cancellations.

As a result of dependence on our key customers, we could experience a material adverse effect on our business, financial condition and results of operations if any of the following were to occur:

- the loss of any key customer, in whole or in part;
- the insolvency or bankruptcy of any key customer;
- a declining end market in which customers reduce orders or demand reduced prices;
- or
- a strike or work stoppage at a key customer facility, which could affect both their suppliers and customers.

If any of our key customers become insolvent or file for bankruptcy, our ability to recover accounts receivable from that customer would be adversely affected and any payments we received in the preference period prior to a bankruptcy filing may be potentially recoverable by the bankruptcy estate of such customer. That scenario, as well as any one or more of the other factors enumerated above, could adversely impact our business, financial condition and results of operations.

We operate in a highly competitive industry.

The markets in which we sell our products, while generally fragmented, are highly competitive. We believe that our principal competitive advantages include an approach reflecting long-term business partnership and reliability, innovative specialized solutions, product quality and conformity to customer specifications, design and engineering capabilities, product development, timeliness of delivery and price. If we cannot remain at the

forefront of these areas in our markets, our ability to remain competitive will be eroded. We will be adversely affected if our competitors develop products that are superior to our products or adapt more quickly than we do to evolving customer requirements.

Competitive pressures arise from existing competitors, other companies that may enter our existing or future markets and, in some cases, our customers, which may decide to internally produce items we sell. While competition is generally fragmented, we compete with companies providing similar services on a regional and local basis and to some extent with customers with in-house manufacturing capabilities. We cannot assure you that we will be able to compete successfully with existing or new competitors. Failure to compete successfully could have a material adverse effect on our business, financial condition and results of operations.

The loss of key executives could adversely impact our ability to successfully compete globally and may adversely impact our business, financial condition and results of operations.

Our success depends upon the efforts, abilities and expertise of our executive officers and other senior managers, including Simon J. Newman, our President and Chief Executive Officer, Adrian Murphy, our Chief Financial Officer, David Angell, Executive Vice President-Asia and Josef Ungerhofer, Executive Vice President-Europe. Mr. Newman has served in a number of technical, operational and management roles at Dynacast since 1979, through which he has developed significant industry experience and important relationships with our employees, customers and suppliers. Mr. Murphy, who first joined Dynacast in 1990, has served in various financial and management positions throughout the Dynacast business in the U.S., Canada and the United Kingdom. Since beginning his career with Dynacast in 1993, Mr. Angell has been responsible for operation, management and expansion of numerous Dynacast facilities and has developed essential experience and relationships while managing Dynacast's Asian operations. Mr. Ungerhofer joined Dynacast in 1989. During his career at Dynacast, Mr. Ungerhofer held management positions in engineering and sales prior to being promoted to General Manager of our Austrian manufacturing facility in 2000, a position he currently still holds in addition to his European region responsibilities.

The loss of the services of Messrs. Newman, Murphy, Angell or Ungerhofer could result in significant disruptions to our operations, which could have a material adverse effect on our business, financial condition and results of operations. It would be very difficult to replace the knowledge, skills, experience and relationships developed by Messrs. Newman, Murphy, Angell or Ungerhofer over the course of their careers with Dynacast. In addition, we may not be successful in attracting and retaining qualified personnel to replace Messrs. Newman, Murphy, Angell or Ungerhofer and the integration of replacement personnel could be costly and time consuming, could cause additional disruptions to our business, and could be unsuccessful.

If we pursue strategic acquisitions or investments, we may not be able to successfully consummate favorable transactions or successfully integrate acquired businesses.

From time to time we may evaluate potential acquisition or investment opportunities in complementary businesses, products or technologies. Such transactions, if any, will be accompanied by the risks commonly encountered in acquisitions of businesses, including, among other things, integration costs, significant managerial challenges and lack of synergies. We may not successfully overcome these risks or any other problems encountered in connection with such transactions, including the inability to integrate an acquired business's operations, IT technologies, services and products into our business, diversion of management's attention, the assumption of unknown liabilities, increases in our indebtedness, the failure to achieve the strategic objectives of those acquisitions and other unanticipated problems, some or all of which could materially and adversely affect us. The process of integrating operations could cause an interruption of, or loss of momentum in, key competitive and marketing activities. Any delays or difficulties encountered in connection with any acquisition and the integration of operations could have a material adverse effect on our business, financial condition and results of operations.

The raw materials used in our production processes are subject to price fluctuations that, if we cannot pass along such costs to customers, could adversely affect our business, financial condition and results of operations.

Our supply of raw materials, including zinc, aluminum and magnesium, for our business could be interrupted for a variety of reasons, including pricing. Prices for raw materials necessary for production have fluctuated significantly in the past and significant increases could adversely affect our results of operations and profit margins. We have agreements with the vast majority of our customers to pass through changes in the price of zinc, aluminum and magnesium. Since metal prices are typically set each month proactively based upon the previous month's metal index, there may be a lag-effect in a rising or falling market. If we are unable to pass along the cost of raw materials to customers for any reason, we will be exposed to potentially significant raw material commodity pricing risks which could materially and adversely affect our business, financial condition and results of operations.

The energy costs involved in our production processes and transportation are subject to fluctuations that are beyond our control and could significantly increase our costs of production.

Our manufacturing process and the transportation of raw materials, components and finished goods are energy intensive. Our manufacturing processes are dependent on adequate supplies of electricity and natural gas. A substantial increase in the cost of transportation fuel, natural gas or electricity could have a material adverse effect on our results of operations. We may experience higher than anticipated fuel and energy costs in the future, which could adversely affect our results of operations. In addition, a disruption or curtailment in fuel and energy supply, for any reason, could have a material adverse effect on our production and sales, and accordingly could materially and adversely affect our business, financial condition and results of operations.

Potential product liability risks exist from the products that we sell.

Our business exposes us to potential product liability risks that are inherent in the design, manufacture and sale of specialized cast and machined mechanical components and, where applicable, the products of third-party vendors that we use. We cannot assure you that we will be able to maintain our insurance on acceptable terms or that our insurance will provide adequate protection against all potential liabilities. In the event of one or more claims against us, a lack of sufficient insurance coverage could have a material adverse effect on our business, financial condition and results of operations. The defense of one or more significant claims, even if successful, would absorb a large amount of management's time and our resources and distract key personnel from the day to day running of our operations. Moreover, even if we maintain adequate insurance, any successful claim could have a material adverse effect on our business, financial condition and results of operations.

Some of our employees belong to labor unions, and strikes or work stoppages, as well as labor protection laws in various countries in which we operate, could adversely affect our operations.

Some of the countries in which we operate, or may in the future operate, may have laws favorable to organized labor, which may make it difficult for us to rationalize or downsize operations. Many of the employees at our Peterborough, Canada facility belong to labor unions. In addition, most of our employees in Europe are represented by government-mandated works councils, which generally must approve changes in conditions of employment, including restructuring initiatives and changes in salaries and benefits. We may not be able to maintain constructive relationships with these labor unions or works councils and we may be unable to timely extend or renegotiate our collective bargaining agreements as they expire.

In 2010, we experienced a minor work stoppage at our facility in France. That disruption did not involve all employees at the facility and it did not have a material impact on our business. We cannot guarantee that we will not have future disruptions, which could materially adversely affect our operations. If our unionized workers were to engage in a strike, work stoppage or other slowdown, or other employees were to become unionized, we could experience a significant disruption of our operations and higher ongoing labor costs, which could have a material adverse effect on our business, financial condition and results of operations. In addition, a significant dispute could divert our management's attention and otherwise hinder our ability to conduct our business.

We operate and source internationally, which exposes us to the risks of doing business abroad.

Our operations are subject to the risks of doing business abroad, including the following:

- fluctuations in currency exchange rates;
- limitations on ownership;
- limitations and expense associated with the repatriation of earnings;
- political, social and economic instability and disruptions, including the threat of global terrorism;
- import and export controls;

- labor unrest and current and changing regulatory environments;
- disadvantages of competing against companies from countries that are not subject to U.S. laws and regulations, including the U.S. Foreign Corrupt Practices Act (“FCPA”);
- difficulties in staffing and managing multinational operations;
- regulatory risk;
- limitations on our ability to enforce legal rights and remedies; and
- adverse tax consequences.

In addition, we may face obstacles in the People’s Republic of China, including a cumbersome bureaucracy and significant political, economic and legal risks which may adversely affect our operations in that country. We also could be adversely affected by violations of the FCPA and similar worldwide anti-bribery laws. The FCPA and similar anti-bribery laws in other jurisdictions generally prohibit companies and their intermediaries from making improper payments to non-U.S. officials for the purpose of obtaining or retaining business. We operate in many parts of the world that have experienced governmental corruption to a greater or lesser degree and, in certain circumstances, strict compliance with anti-bribery laws may conflict with local customs and practices and impact our ability to compete as effectively in these regions. We cannot assure you that our internal controls and procedures always will protect us from the reckless or criminal acts committed by our employees or agents. If we are found to be liable for FCPA violations (either due to our own acts or our inadvertence or due to the acts or inadvertence of others), we could be subject to United States federal criminal or civil penalties or other sanctions, which could have a material adverse effect on our business.

Any of the events enumerated above could have an adverse effect on our operations in the future by reducing the demand for our products and services, decreasing the prices at which we can sell our products or otherwise having an adverse effect on our business, financial condition and results of operations.

Strengthening of the U.S. dollar, as well as other foreign currency exchange rate fluctuations, could materially impact our results of operations.

In 2013, approximately 83.0% of our net sales originated outside the United States. We translate sales and other results denominated in foreign currencies into U.S. dollars for our consolidated financial statements. This translation is based on average exchange rates during a reporting period. During times of a strengthening U.S. dollar, our reported international sales and earnings have been reduced when foreign currencies translated into fewer U.S. dollars. This risk will increase if foreign sales and expenses increase.

Separately, while we generally manufacture in the same geographic markets as our products are sold, our sales are more concentrated in U.S. dollars and in Euros than our expenses which are typically denominated in local currency, and therefore our profit margins and earnings could be reduced due to fluctuations or adverse trends in foreign currency exchange rates. While we employ financial instruments to hedge certain of these exposures, this does not insulate us completely from currency fluctuation effects.

We are subject to various environmental, health and safety laws and regulations and have related compliance expenditures and liabilities which may result in significant costs.

Our operations and properties are subject to foreign, federal, state and local environmental, health and safety laws and regulations, particularly with respect to the use, handling, treatment, storage, discharge and disposal of wastes and other regulated materials used or generated in our manufacturing processes, release of pollutants into the air, soil and water, and the remediation of contaminated sites. Our failure to comply with applicable environmental laws and regulations and permit requirements could result in civil or criminal fines or penalties or enforcement actions, including regulatory or judicial orders enjoining or curtailing operations or requiring corrective measures, installation of pollution control equipment or remedial actions.

We may be required to incur costs relating to the investigation or remediation of property, including property where we have disposed of our waste, and for claims alleging personal injury or damages to property or natural resources. Some environmental laws and regulations impose strict, and in some cases joint and several, liability on present and former owners, operators or users of sites for costs of investigation and remediation of contaminated sites, as well as those entities that send regulated materials to the sites. We cannot assure you that we have been or will be at all times in complete compliance with such laws, regulations and permits. In addition, we occasionally evaluate various alternatives with respect to our facilities, including possible dispositions or closures. Investigations undertaken in connection with these activities may lead to discoveries of contamination that must be remediated, and closures of facilities may trigger compliance requirements that are not applicable to operating facilities. Consequently, we cannot assure you that existing or future circumstances, the development of new facts or the failure of third parties to address contamination at current or former facilities or properties will not require significant expenditures by us.

Environmental laws are complex, change frequently and have historically become more stringent over time. Although our costs of complying with environmental, health and safety laws, and our liabilities arising from releases of, or exposure to, regulated materials have not to date had a materially adverse effect on our business, financial position, results of operations or cash flows, there can be no assurance that this will continue to be the case in the future. Enactment of new laws and regulations, stricter enforcement of existing requirements, discovery of presently unknown conditions or accidental releases of regulated materials could cause us to incur costs which could be material.

Operating problems in our business may adversely affect our business, financial condition and results of operations.

We are subject to the usual hazards associated with manufacturing and the related storage and transportation of raw materials, products and waste, including explosions, fires, leaks, discharges, inclement weather, natural disasters, personnel injuries or fatalities, mechanical failure, unscheduled downtime and transportation interruption or calamities. The occurrence

of material operating problems at one or more of our facilities may have a material adverse effect on our operations as a whole, both during and after the period of operational difficulties.

Adverse credit market conditions may significantly affect our access to capital, cost of capital and ability to meet liquidity needs.

Disruptions, uncertainty or volatility in the credit markets may adversely impact our ability to access credit already arranged and the availability and cost of credit to us in the future. Market conditions may limit our ability to replace, in a timely manner, maturing liabilities and access the capital necessary to grow and maintain our business. Accordingly, we may be forced to delay raising capital or pay unattractive interest rates, which could increase our interest expense, decrease our profitability and significantly reduce our financial flexibility.

Longer-term disruptions in the capital and credit markets as a result of uncertainty, changing or increased regulation, reduced alternatives or failures of significant financial institutions could adversely affect our access to liquidity needed for our business. Any disruption could require us to take measures to conserve cash until the markets stabilize or until alternative credit arrangements or other funding for our business needs can be arranged. Such measures could include deferring capital expenditures and reducing or eliminating future share repurchases or other discretionary uses of cash. Overall, our business, financial condition and results of operations could be materially adversely affected by disruptions in the credit markets.

The financial information of the Predecessor Company is not representative of our financial condition, future results of operations or future cash flows nor does it reflect what our financial condition, results of operations or cash flows would have been as a stand-alone company during the periods presented.

The Predecessor Company financial information included in this Form 10-K is not representative of our future financial condition, future results of operations or future cash flows nor does it reflect what our financial condition, results of operations or cash flows would have been as a stand-alone company during the Predecessor Company period presented. This is primarily because:

- Our historical combined financial information has been derived from the financial statements and accounting records of Melrose and reflects assumptions and allocations made by Melrose. Those assumptions and allocations may be different from the comparable expenses we would have incurred as a stand-alone company;
- Prior to the Acquisition, the Dynacast business was not owned by a single legal entity and, accordingly, historical consolidated financial information does not exist;
- Certain general corporate expenses were historically allocated to the Predecessor Company period by Melrose that, while reasonable, may not be indicative of the actual expenses that would have been incurred had we been operating as a stand-alone company, nor are they indicative of the costs that will be incurred in the future as a stand-alone company;

- The Predecessor Company's working capital requirements historically were satisfied as part of Melrose's corporate-wide cash management policies. Since becoming a stand-alone company, we no longer rely on Melrose for working capital. In connection with the transactions, we incurred a large amount of indebtedness and will therefore assume significant debt service costs. As a result, our cost of debt and capitalization will be significantly different from that reflected in the Predecessor Company's historical combined financial information; and
- Following the Acquisition, we have experienced increases in our costs, including the cost to establish an appropriate accounting and reporting system, debt service obligations, providing healthcare and other costs of being a stand-alone company.

See "Management's Discussion and Analysis of Financial Condition and Results of Operations" in Part II, Item 7, and our audited consolidated and combined financial statements and the related notes thereto included in Part II, Item 8, of this Form 10-K.

We have a limited history as a stand-alone company

The Dynacast business was operated under Melrose prior to July 19, 2011. On July 19, 2011, as a result of the Acquisition, we became an independent, stand-alone company. There is a significant degree of difficulty inherent in the process of transitioning from a subset of a larger corporate parent to becoming a stand-alone company, including effecting this process while carrying on our ongoing operations and separating our corporate infrastructure from Melrose's, including systems, insurance, accounting, legal, finance and tax.

Our failure to continue to operate as a stand-alone company could have an adverse effect on our business, financial condition and results of operations. This ongoing process could cause an interruption of, or loss of momentum in, the activities of one or more of our businesses. Members of our senior management may be required to devote considerable amounts of time to this process, which will decrease the time they will have to manage their respective businesses, service existing customers, attract new customers and develop new products or strategies. If our senior management is not able to manage this process effectively, or if any significant business activities are interrupted as a result of this process, our business could suffer.

If we fail to maintain effective internal control over financial reporting, we may not be able to accurately report our financial results which could have a material adverse effect on our operations and investor confidence in our business.

As an SEC-reporting company, we are required to maintain effective disclosure controls and procedures and internal control over financial reporting, to disclose, on a quarterly basis, changes made in our internal control and procedures that, or that are reasonably likely to, materially affect internal control over financial reporting, and, beginning with our fiscal year ending December 31, 2013, to provide an annual assessment of the effectiveness of our internal control over financial reporting. If we fail to maintain effective internal control over financial reporting, we may not be able to accurately report our financial results which could have a material adverse effect on our operations and investor confidence in our business.

A group of investors, including Kenner, controls us and their interests may conflict with or differ from ours.

Certain affiliates of Kenner and their co-investors have the power to elect all of our directors. Therefore, these stockholders have the ability to prevent any transaction that requires the approval of our Board of Directors, including the approval of significant corporate transactions such as mergers and the sale of substantially all of our assets. The directors elected by these stockholders have the ability to control decisions affecting our corporate structure, including the issuance of additional capital stock, the implementation of stock repurchase programs and the declaration of dividends. The interests of these stockholders could conflict with, or differ from, the interests of holders of the Notes. For example, if we encounter financial difficulties or are unable to pay our debts as they mature, the interests of these stockholders might conflict with the noteholders' interests. Furthermore, the concentration of ownership held by these stockholders could delay, defer or prevent a change of control or impede a merger, takeover or other business combination. Additionally, these stockholders are in the business of making or advising on investments in companies they hold, and may from time to time in the future acquire interests in or provide advice to businesses that directly or indirectly compete with certain portions of our business or are suppliers or customers of ours. These stockholders may also pursue acquisitions that may be competitive with, or complementary to, our business, and, as a result, those acquisition opportunities may not be available to us. So long as these stockholders continue to own a significant amount of the outstanding shares of our common stock, they will continue to be able to strongly influence or effectively control our decisions.

Our business, financial condition and results of operations may be adversely affected by various legal and regulatory proceedings.

We are subject to legal and regulatory proceedings, lawsuits and claims in the normal course of our business and we could become subject to additional proceedings, lawsuits or claims in the future, some of which could be material. Any proceedings, lawsuits or claims initiated by or against us, whether successful or not, may be time consuming and require significant amounts of management time, result in costly litigation and damage awards, require us to change our business practices or products, result in diversion of significant operations resources or otherwise harm our business and future financial results. The outcome of existing proceedings, lawsuits and claims may differ from our expectations because the outcomes of litigation, including regulatory matters, are often difficult to reliably predict. Various factors or developments can lead us to change estimates of liabilities and related insurance receivables where applicable, or make such estimates for matters previously not susceptible to reasonable estimates, such as a significant judicial ruling or judgment, a significant settlement, significant regulatory developments, or changes in applicable law. A future adverse ruling, settlement, or unfavorable development could result in charges that could have a material adverse effect on our business, financial condition or results of operations in any particular period.

Our level of indebtedness could adversely affect our financial flexibility.

We have a significant amount of consolidated indebtedness. As of December 31, 2013, our total consolidated indebtedness was \$390.3 million (excluding mandatorily redeemable preferred stock and the warrants issued to its purchaser) and \$47.1 million was available for borrowing under our revolving credit facility (after giving effect to \$2.9 million of outstanding letters of credit). Our level of indebtedness increases the risk that we may be unable to generate cash sufficient to pay amounts due in respect of our indebtedness. Our indebtedness could have other important consequences to noteholders and significant effects on our business.

For example, our indebtedness could:

- make it more difficult for us to satisfy our obligations;
- increase our vulnerability to adverse changes in general economic, industry and competitive conditions;
- require us to dedicate a substantial portion of our cash flows from operations to make payments on our indebtedness, thereby reducing the availability of our cash flows to fund working capital, capital expenditures and other general corporate purposes;
- limit our flexibility in planning for, or reacting to, changes in our business and the industry in which we operate;
- restrict us from taking advantage of opportunities to grow our business;
- place us at a competitive disadvantage compared to our competitors that have less indebtedness; and
- limit our ability to borrow additional funds for working capital, capital expenditures, acquisitions, debt service requirements, execution of our business strategy or other general corporate purposes on satisfactory term or at all.

In addition, the indenture governing the Notes contains, and the agreements evidencing or governing our Senior Secured Credit Facilities and our other and future indebtedness may contain, restrictive covenants that may limit our ability to engage in activities that may be in our long-term best interests, dispose of assets or cause us to make non-strategic divestitures. Our failure to comply with those covenants could result in an event of default which, if not cured or waived, could result in the acceleration of all of our indebtedness.

To service our indebtedness, we will require a significant amount of cash. Our ability to generate cash depends on many factors beyond our control.

Our ability to make payments on and to refinance our indebtedness and to fund planned capital expenditures and key marketing initiatives will depend on our ability to generate cash in the future. This, to a certain extent, is subject to general economic, financial, competitive, legislative, regulatory and other factors that are beyond our control. We cannot assure you that our business will generate sufficient cash flow from operations, that currently anticipated cost savings and operating improvements will be realized on schedule or that future borrowings will be available to us under the Senior Secured Credit Facilities in an amount sufficient to enable us to pay interest on our indebtedness or to fund our other liquidity needs. The borrowings under our Senior Secured Credit Facilities bear interest at variable rates and other indebtedness we may incur could likewise be variable-rate indebtedness. If market rates increase, variable-rate indebtedness will create higher debt service requirements, which could

further adversely affect our cash flow. If our leverage ratio increases, the aggregate interest rates we are charged under our Senior Secured Credit Facilities could increase by 25 basis points. We do not hedge our interest rate exposure.

If our cash flows and capital resources are insufficient to fund our debt service obligations, we may be forced to reduce or delay capital expenditures or expansion initiatives, sell material assets or operations, obtain additional equity capital or refinance all or a portion of our indebtedness on or before maturity. In the absence of such operating results and resources, we could face substantial cash flow problems and might be required to sell material assets or operations to meet our debt service and other obligations. The indenture governing the Notes, the terms of our Senior Secured Credit Facilities and the terms of any future debt instruments we may enter into contain or may contain restrictions on our ability to dispose of assets, which, in addition to prevailing market conditions, may restrict or prohibit our ability to sell assets to generate cash. We cannot assure you as to the timing of such asset sales or the proceeds which we could realize from such sales and we cannot assure you that we will be able to refinance any of our indebtedness on commercially reasonable terms or at all.

Despite restrictions in the indenture governing the Notes and our Senior Secured Credit Facilities, we and our subsidiaries may still be able to incur additional indebtedness and other obligations. This could create significant leverage and related risks.

We and our subsidiaries may be able to incur a significant amount of additional indebtedness and other obligations in the future pursuant to the indenture governing the Notes and the terms of our Senior Secured Credit Facilities, including additional secured indebtedness. Although covenants under the indenture governing the Notes and our Senior Secured Credit Facilities limits our ability and the ability of our present and future subsidiaries to incur additional indebtedness, the terms of such indenture permit us to incur additional indebtedness. To the extent that we incur additional indebtedness or such other obligations, the risk associated with the additional indebtedness described above, including our possible inability to service our debt, will increase.

Restrictive covenants in the indenture governing the Notes and in the terms of our Senior Secured Credit Facilities may limit our current and future operations, particularly our ability to respond to changes in our business or to pursue our business strategies.

The indenture governing the Notes and in the terms of our Senior Secured Credit Facilities contain, and any future indebtedness of ours may contain, a number of restrictive covenants that impose significant operating and financial restrictions, including restrictions on our ability to take actions that we believe may be in our best interest. Among other things, the indenture limits our ability to:

- incur additional indebtedness and issue disqualified stock and preferred stock;
- pay dividends on or make distributions in respect of our membership interests or capital stock or make certain other restricted payments or investments;
- create or incur liens;
- sell certain assets;

- place restrictions on the ability of restricted subsidiaries to make payments to us;
- enter into transactions with our affiliates;
- consolidate, merge or sell all or substantially all of our assets; and
- limit the ability of our restricted subsidiaries to guarantee indebtedness.

In addition to a minimum interest coverage ratio, our Senior Secured Credit Facilities require us to maintain a maximum total leverage ratio.

A breach of the covenants or restrictions under the indenture governing the Notes could result in a default. Such default may allow the creditors to accelerate the related debt and may result in the acceleration of any other debt to which a cross-acceleration or cross-default provision applies, including the Senior Secured Credit Facilities. In the event our lenders or noteholders accelerate the repayment of our borrowings, we cannot assure that we and our subsidiaries would have sufficient assets to repay such indebtedness.

The restrictions contained in the indenture governing the Notes and in the terms of the Senior Secured Credit Facilities could adversely affect our ability to:

- finance our operations;
- make needed capital expenditures;
- make strategic acquisitions or investments or enter into alliances;
- withstand a future downturn in our business or the economy in general;
- engage in business activities, including future opportunities and expansion, that may be in our best interest; and
- plan for or react to market conditions or otherwise execute our business strategies.

Our ability to obtain future financing or to sell assets could be adversely affected because a very large majority of our assets have been secured as collateral for the benefit of the holders of the Notes and the lenders under our Senior Secured Credit Facilities. In addition, our financial results, our indebtedness and our credit ratings could adversely affect the availability and terms of our financing.

Our ability to meet our obligations under our debt, in part, depends on the earnings and cash flows of our subsidiaries and the ability of our subsidiaries to pay dividends or advance or repay funds to us.

We conduct the vast majority of our business operations through our subsidiaries. The ability of these subsidiaries to make dividend payments, make loans or pay royalties, etc. to us will be affected by, among other factors, the obligations of these entities to their creditors, requirements of corporate and other law, and restrictions contained in agreements entered into by or relating to these entities. In addition, our foreign subsidiaries may be subject to currency controls, repatriation restrictions, withholding tax obligations on payments to us and other limits, and we may be subject to U.S. income tax on distributions from our foreign subsidiaries, even after taking into account foreign tax credits.

Source: Company 10-K